A GIFT TO ANYONE PAYING ATTENTION (Guest: Chase Taylor)

Podcast: Market huddle

AI Executive Summary

Core Thesis

The episode argues that current market instability is driven by a fragile but persistent oil shortage due to Middle East geopolitical tensions, which acts as the primary driver for higher inflation, bond yields near 5%, and credit tightness. While equity markets appear structurally supported by Mag7 earnings growth, underlying risks from labor stagnation, global savings decline, and capital competition with AI infrastructure are threatening broader stability. The market narrative suggests waiting for political de-escalation to stabilize energy flows before betting on mean reversion or a Fed intervention pivot away from rate hikes.

Key Arguments & Data

- **Oil Market Dynamics:**
  - **Price Levels:** Crude oil is trading around $100/bbl (up from $200 peaks in Feb/March and negative lows previously). The trade is binary: prices stay high as long as the war persists (Houthis/Iran control of Strait of Hormuz) and revert lower once normalized.
  - **Futures Structure:** There is extreme backwardation; long-term contracts (May 2027) are mispriced at ~$71 vs. spot levels, offering a clean upside if the high-level floor persists. Short-term volatility suggests waiting for a "reset" dip to buy.
  - **ETFs:** The KTO/OPC ETF trades at an annualized dividend of 30% and total return >50%, outperforming semiconductors on a yearly basis despite capital losses due to tax efficiency.
- **Inflation & Fed Policy:**
  - **Core CPI:** Printed at +0.3% (up from -0.3% baseline), with Super Core at +0.5%. Technology inflation and import costs (tariffs/AI) remain unpriced.
  - **Hike Probability:** Market pricing in 4–5 hikes over the year, but host argues inflation is already priced in correctly while recession

risk is underpriced. The two-year yield curve shows preference for a "softer" Fed path if equities stabilize.
    - **Yields:** 10-year Treasury futures collapsing toward the 5% threshold. Global bond markets (Europe, UK, Japan) are experiencing similar yields due to oil transmission and deflationary global savings.
- **Equity Market Health:**
    - **Breadth vs. Leadership:** S&P breadth has collapsed (only ~50% stocks trading above 50-day MA), with the Mag7 (hyperscalers) acting as a singular support pillar for the index.
    - **Capital Structure:** Hyperscalers are facing rising cost of capital (~$2T in AI capex). They previously benefited from low rates but now pay significant interest on debt, threatening earnings visibility.
    - **Volatility:** KOSPI and semiconductor indices have corrected significantly (KOSPI >40% drop), signaling a possible bubble burst if fundamentals cannot sustain current valuations.
- **Bond Market Risks:**
    - **Global Savings Decline:** Global savings peaked in late 2018/early 2019 and is now declining due to capital repatriation for national defense (Europe/Korea) and domestic needs. This structural shift increases cost of capital globally.
    - **Fed Intervention:** The Fed may need to deploy the TGA or monetary easing if yields exceed 5% because the cost of capital becomes unaffordable for both government and private sector.
- **Commodity Positioning (Commitment of Trade):**
    - **Gold:** Tested $4,200 support but broke structure with a potential move toward $5,000 if geopolitical escalation increases again or Fed intervenes with yield curve manipulation.
    - **Copper:** Extremely crowded bullish trade (90th percentile position), high risk of volatility if China tariff expectations change.
    - **Natural Gas:** Net short positioning near 5-year lows ($3–$4 range) due to weather risks and associated production costs; consensus trade with downside risk.
    - **Grains/Softs:** Corn, wheat, sugar, and cocoa are bullish due to El Nino, fertilizer issues, and geopolitical disruptions (India crop).

Sugar is at a new high after a three-year bear market bottom-out.

Actionable Takeaways

- **Energy Strategy:** Trade long-term energy contracts for mispricing rather than spot prices; consider the KTO/OPC ETF for tax-efficient dividend yield and total return exposure. Be cautious of spot oil dips until geopolitical de-escalation is confirmed.
- **Fixed Income Approach:** Consider buying short-end bonds (2-year) as Fed rate hikes may stabilize at 4–5%; avoid long-end volatility unless Fed intervention becomes clear to prevent "flying blind."
- **Equity Allocation:** Maintain a bias toward hyperscalers (Mag7) for index beta, but reduce exposure to broad market breadth risks. Monitor Apple and Nvidia for leadership signals amidst the AI capex correction risk.
- **Commodity Betting:**
  - **Bullish:** Focus on tropical crops (sugar, cocoa) and AgTech ETFs (KROP) due to weather risks and supply constraints.
  - **Bearish/Caution:** Stay cautious on crowded trends like copper and natural gas; avoid consensus trades without fundamental confirmation.
- **Risk Management:** Use stop-losses on aggressive positions; recognize that if yields push past 5% or inflation expectations spike again, the market may shift from a growth cycle to a stabilization mode requiring Fed intervention.

Full Transcript

Hit it. It's Friday, September 11th, 2026, episode 300 on Patrick Ceresna. This week joining us is Chase Taylor from Pinecone Macro. We're going to dig into the charts, take a look at what's driving these markets right now, and see what the technicals may be telling us about what's going to come next. So Kevin is away this week. Chase, thank you for pinch hitting on a short notice. Yeah, you bet. I'm away next week, so this was perfect timing. All right.

So let me just quickly give a disclaimer and let's jump into the chart. So nothing in this podcast should be viewed as investment advice. Listeners should consult an investment professional before making any decisions regarding topics mentioned in this show. Side effects of too much market huddle may include a percent buyback dysfunction, triple digit crude trauma and inflation, reacceleration rash. You don't want to have any of those. Anyway, let's dive into these charts and have a look at what's going on. So Chase, I wanted to really bring you on and pick your brain about this stuff. But normally we start with equity markets and things like that. But really thematically, we have to go straight to the pressure point source of where things have been really building. And that's been the re-acceleration of the trend crude oil.

I rewind back to February, March. Instantaneously, oil goes to repricing to 120 a barrel. Everyone was convinced 200 was in the cards. And then we had one of the most spectacular positioning washouts, June, that basically caught all the traders that were certain that the outcome of this trade or her moves fundamentally and tight markets was going to cause oil to go up and those positions were washed out. And quietly now, oil has been creeping higher like the oil shortages, the inventory drawdowns, all these things are are actually legitimately, you know, now a thing and it's certainly sending shocks to the market. We'll talk about the impact oil is having on the other markets, but let's start off by just getting your view on what's happening in oil. What's your view? Where's it going? How do you size this up?

Yeah, so speaking of I think I have a rash from from that washout I think I think one of the the craziest things I've ever seen in markets was the fact that we Literally round-tripped all the way back to where we came from before the war despite, you know the obvious loss of all the production That was one of the craziest things that I have ever and we'll ever see and it was like one of those in real time where you're like This is like this is pretty momentous and historic. You mean you mean as crazy as negative crude oil prices In some way maybe crazy here But you know now that you're at a hundred bucks like you look back at the fact that we got back into the 60s and it's just It's crazy how big of a gift that was anyone paying attention and as our buddy Palo macro kind of coined this is it's almost like a second mouse gets the cheese trade And if the war doesn't end it's gonna be a third mouse gets a Lambo trade I think so hopefully it doesn't because of the obvious effects if it doesn't, but this whole thing is pretty simple. Like you got washed out, obviously because of the MOU, but more of the point, you didn't keep going at 120 because of big SPR releases and the fact that China backed away from buying in a way that literally nobody saw coming. It was massive the way they stepped away. And they're just nibbling now. Like they have increased imports, but it's not, they're nowhere near to where they came from.

So the fact that you're back at 100 without that, like if they jump back in at pre-war levels, then I mean, you would, we would be, you know, in the clouds very, very quickly. So this is a fragile trade. Obviously the Houthis now control the Babel Bandab straight and the Iranians at least have control of the straight form moves. So if Iran wants this price higher, they can get it higher. So as long as this war is going on, I think beatings will continue until until it's not on anymore. What's your over-under that they recognize that their strongest positioning is when Trump is most vulnerable right before the midterm elections? And would it be pushing their luck if they kept negotiations past the elections where they simply don't have a deadline?

from which and then they could drag things on. Like, do you think that there's a possibility that this kind of they use this leverage point as the point to get the deal that they think they can get? I mean, I think it's possible. But I think the problem with that is I don't think the president really cares that

much about the midterms. And I think people are maybe over indexing on how much Iran cares about it, like at the end of the day. I'm not saying they're not going to press into that because I think they will. But uh, I think, I think that might get a little too much attention. You know, the president's talking about like, oh, as soon as the war's over, like we'll have a deal or whatever. Or they'll, you know, surrender, like chances are until, until the U.S. decides like they will accept, you know, a reign in control of the straight. I was going to keep going on. And I think eventually we will. We'll try to dress it up to make it look a little better by making the fees, you know, air quotes, you know, uh, voluntary or whatever. But.

I think that's where we're heading. I don't know when we get there, but that's where we're heading. And we see already, like come Monday, the Gulf States are going to sit down with Iran and talk about some at least temporary arrangement that gets stuff out, which I think obviously would be a bag of money to get some stuff out, which is interesting given the sanctions and all that. But as long as the war is on, oil is going to keep going higher. Once the war is off, it's going to go a lot lower. It's truly that binary, I think. Let's specifically talk about price levels. Obviously, Monday, if some oil flows through, maybe that becomes the short-term catalyst for some mean reversion on oil. But what levels do you feel are structurally where dips should be bought?

Let's see oil going. Do you think the asymmetry is in continued press crude oil or is it to play energy stocks? I mean still not having fully priced like where what's though your ideas for how to approach this energy space? Yeah, so for me like I've been long through this whole thing But I was long in the December contract which unlike front month is you know at a bit was at a big new high yesterday So like it has performed a lot better than front month But what I will say is in the last week, 10 days, whatever, I've started to migrate out into May of 2027 because that's way lower, way less fall. And then just like when I got into December back in the spring, the beauty of that was no one thought this could last until Q4. So it was mispriced. So like if we keep going for a few more months, May is wildly mispriced. It's in the 70s. Like I think I think December of 27 is like 71. So like if we keep going long enough, those are wildly mispriced. And what I will say is like for people scoring at home, just like the ETF oil K to avoid the K one for

Americans don't want to deal with the tax headache. That thing has monetized the role yield like crazy. The last it pays a dividend every month. The last one was like a 30% annualized dividend.

So it's just monetizing that role yield. The total return on it's over 50% on the year. Like it's been a great investment. It's beating semiconductors on the year, which I don't think anyone realizes. So you can just camp in those because of the, you know, pretty extreme backwardation. So I think those are the trade. Like the oil equities, you know, they don't just price in the next six months. They have to price in the next 30 years or whatever, which oil is going to be cheap. This is a great kind of conversation that you started here because there's two different approaches. One is, listen, let's talk about the front month spot prices of oil and where this volatility is going and how this trades on the short term. But when you step back and recognize the term structure and the fact that in this backwardation that all of these farther out contracts are really still trading at much lower levels that have not accounted for the 400 million barrels of oil that have been drawn down in global inventories. The question is, is there a higher shelf for long-term oil? Like forget about the story that oil is going to 200. What if oil even if everything opens up, doesn't go back down to 70. What if it stays up at 80, 90? And that's the new higher floor for where oil stays. And if that's the case, all these longer term contracts have a very clean upside if that thesis comes to fruition. And that's the interesting part of your thesis going out to May.

But the one thing I'll touch on is that that I think also influences the earnings forecast for a lot of energy companies because, you know, they they're forecasting not what they're getting at spot, but where's the kind of long term average price that they're going to be able to be profitable. And if the high the level of oil is higher for longer, then a lot of these energy companies are trading at a discount. Yep. So It's tough because like, and a lot of this has been in how long it goes. If we go another year or something, then there's so little SPR left globally that you're talking about a year or two to refill it or five years refill it, which helps a lot. But I will say once this is over, like, you know, the Saudi, Saudi productions at 1990 levels, the Saudis can go back to like 11 million barrels a day or whatever after this UAE is out of OPEC. They can go, they can go ham. Obviously the Iranians

can double their production. We have more and more coming out of Latin America. Like you could have the same production, you know, as soon as 2027, if this thing ends. So from that perspective, I would expect to be in a pretty nasty surplus pretty quickly. Um, so I'm not, for me, I'm not going to be bullish. I once this is over, like as soon as I'm confident, the straight is going to be normalized. Like I went out of oil probably for.

a long time just because I think everyone's gonna go full max, you know Production and get us back down probably towards the 50s The only the only bright spot in that whole scenario would be if the US production kind of lagged which in the last couple months US productions been Not great. So like if that were to accelerate somehow that then okay well now now you have a whole new ballgame if the if the biggest producer in the world can't seem to to increase but You know the Chinese demand like and like I mean real demand not just imports but like on the road demand is really pulled back So that that makes it hard to be really bullish especially knowing that a lot of people can really increase production All right, so let's let's move on to the knock on effects because oil has I think been the center point of of pain and the transmission at the mechanism uh is obviously bonds interest rates and subsequently um inflation fears inflation expectations and therefore that policy ecb policy bank of canada policies central banks policies around the world like this whole thing is uh tightening credit making credit more expensive And this obviously is putting pressure on risk assets broadly because of this. So what I want to start off with, let's actually talk inflation itself. So yesterday and this morning, we had the PPI and the CPI numbers coming out. And clearly, you know, there was a lot of, with the FOMC meeting next week and the odds of a rate hike being slightly greater than 50% going into the CPI. There was a lot of people that were basically making this a binary thing where if core CPI comes in at 30 basis points, they're going to hike. If it comes in at 20 basis points, they're going to stay.

And we got that 30 basis point print on the core CPI and the SOFR futures, Fed funds, everything just suddenly made you know the probability of a rate hike now like let's say it's 88% 89% right now being baked in that that next week Warsh is giving us a rate hike. Surprisingly, I would think that that that kind of a hawkishness was would have had more of a response on

equities, but we'll get to that later. But at least right now, bonds are not liking this at all. And, and certainly here, I'll just put up the sofa futures on this. But so let's talk about this. So first of all, what's your take here on inflation? I mean, this certainly was August numbers. So the next month is the one that's going to bake in This oil surge so that means that next month right in the pre-election we're gonna very likely see a hot print on on the CPI I don't know how much it's gonna be already anticipated and priced in but we basically are you know this is by the way so this is your our three months so for futures out to December you can see for just the last two days a clear break.

to lower lows, you know, we're now pricing in pretty much four and a quarter on yields towards the end of the year, right? So they're they're fully anticipating now that we're going to get not only September, but a very likely another move either October or December. So give us your take. What's what's your take on inflation? How's the story going to play out in your mind? Yeah, so Not only did we get the 0.3 on core, but if you look at super core, it was 0.5. So you're talking about analyzing above 5% and you know, all the, all the doves at the Fed just keep talking about like, oh well underlying inflation, you know, which means, you know, inflation X, everything going up is not bad. Like it's been, it's been getting better. The reality is, you know, if, if 6 diesel that finds its way into everything, I don't care what anybody says, like it just does.

Um, and it's not just diesel. Obviously there's a lot of things getting more expensive. Tariffs are still their own problem. You look at the import prices for all the AI stuff, memory and all that. Like you have technology inflation. Normally you never have technology inflation. You have deflation that's flipped on its head. Same for goods because of tariffs. So like you start with like a rough spot already and then you throw on all the energy inflation and we have El Nino making agriculture prices go up. So now you have food, you have energy. Which bleeds and everything else, but you also have technology and good. So it's a very very inflationary backdrop I mean if you look at a now cast for nominal growth, it has an eight handle. So if nominal GDP is eight diesel six bucks Like yeah, you're gonna have a bunch of inflation anyone thinking otherwise is is probably you know deserves a drug test at this point With that said if you look out on the curve

we have three point six hikes priced. And if that's making the two year basically an over under on four hikes, kind of. And even though I'm a hardcore inflationist right now, like, are they going to hike five times? I don't think so. So despite how much I think inflation is going to be a problem, I think the front end is actually starting to get attractive. So if you pick your, if you pick the right spot on the sofa curve, I think it actually makes sense to bet on less hikes than the market at this point. And I was pounding the table even a month ago that the market was Sleeping on inflation and sleeping on how many hikes were required. I think it's caught up to reality here So I actually like the two year from the long side. I can't get there Personally on the long end. I might buy some calls, you know on like 10 year futures or something but like I'm not gonna own own those Yeah, but the short end doesn't seem bad, you know, and if they do hike five six times then we have a lot more problems than than losing a few bucks on the two-year, that's for sure. Now, so the interesting part about this, and this is where I think that this two-year, here I'll put on the actual two-year bond here, so we can actually see what the two-year treasury is looking like down here at the 102 handle here. And the interesting part about this is that you're exactly like you're saying, it's basically pricing in a Fed path.

that actually needs the economy and asset prices to be somewhat stable because. In the end I feel that the fed can continue to be tight and inflation can continue to be the thesis if equity markets and the economy end up being status quo. And what makes the two year really interesting is that well what if the curveball comes in what if. there is a semiconductor crash. What if, you know, there's some sort of a bigger market correction that can be driven by higher interest rates, like go back to 2022, right? Like when at some point rates matter for equities. And if we see any legitimate market correction emerge, it almost certainly could Make the our word possible like a you know recession risks would suddenly be talked about and and the Fed narrative could pivot Very very quickly. I think they can afford to play this this position on we're hardline inflation fighters only until something in the system starts to actually crack and then we're back into financial stability as a priority mode. What do you think of what I just said? How would you view it differently? Yeah, I think what you said there's important because one of the reasons that you do have all of a sudden three or four hikes prices, it's not just that inflation is ripping. It's the fact that growth is

still ripping, that jobs are fine. I think if you told a lot of people, like what was about to happen with inflation and energy costs and everything, they'd be like, well, sure, but then jobs will go negative and, you know, growth will be under two. And so who cares? What the problem, the problem for those people is nominal growth, eight. And, you know, jobs are frankly better than, than it even makes sense. Like they blew out every single expectation in the last draft report. And it'll probably be revised back down some, but still, I mean, Given that immigration is basically flat, adding over 100,000 jobs is very hot. The one saving grace the Fed has had is that wages aren't going up. But that's not a saving grace for the economy, to your point. There are some banana skins you can slip on out there. And one of them is the fact that, like I said, super core is up half a percent month over month. What isn't, I promise you, is wages. Wages are not up half a percent month over month. So real incomes are falling, which means consumption...

It's going to start falling unless people are going to put everything on the credit card. And that alone can obviously hurt an economy that's two-thirds consumption. So you're right. And that's one of the reasons that I'm actually looking at the two-year and surprisingly getting interested from buying it instead of selling it for once. But at the same time, if the war keeps going, we're not going to stop at 3%, 4% inflation. It's going to go a lot higher than that, especially if El Nino really digs its claws into ag prices, then it's just that much worse. So yeah, I think we reached the point, no kidding this week, and I would say yesterday, it kind of turned to the point where the market's been able to ignore the war and all the side effects of the war. I think yesterday was kind of a turning point where that ended. If the war doesn't end, clearly we've reached this point where our energy prices are going higher because we're starting to run low on SPR, the Chinese are coming back into buying. You have two strategic choke points now at grave risk, not one. You just lost a lot of the buffers you're able to deploy for six months. So now the war is just staring down the economy. But at the same time, if we know that here, then obviously the White House knows that and probably is winding up the jack in the box over at Axios, et cetera, to start floating deals or whatever.

But but if not if not if if if the word just keeps raging on for another three months or whatever then then Stocks are gonna have to start carrying bond yields will start to mess with the real economy You know Sure that you know Google can can borrow all they want at whatever rate because who cares? But you know the the small business down the street can't handle so for ripping higher from here and you know, there's a lot of money borrowed at toward the short end that we all forget about that suddenly is problematic. Well, so let's, let's, let's emphasize that short term is very much about fed path and the fed can signal, even though that's not a warship style anymore. But they could signal that they're not going to be so aggressive, not that they're going to be uh dovish but that simply that they're not going to be aggressive hawks and they can keep a uh short term rates more stable but let's move on to the long end because the long end don't play like that and we saw a percent attempt to um uh to uh you know twist uh whatever operation twist you want to call this thing but basically spend uh some money to and basically keep a lid on the long end and so far unsuccessfully. And so here we are. I have the chart showing you the 10-year Treasury futures collapsing over the last week and a half. It's a bloodbath on the 10-year. The 10-year yield is almost a 5%. We're ripping on the upside there.

The the thing is is that risk assets are misbehaving But mildly they're just like showing that they're irritated But they but we haven't seen a substantial deterioration, but when bonds are behaving this way there's there's a date with with destiny where there isn't going to be a bond crash and the stock market's going to be like holding hands and singing kumbaya and everything is good. There's going to be a consequence to this. How do you size up the long end and do you think that there's going, like where's the threshold where maybe even the Federal Reserve may intervene even though they may not necessarily do. Huey or something, but they may attempt to stabilize different parts of the curve like where is the pain point on this? What do you what do you think is the path here? Yeah, I think we gotta be even close the the funny thing about this is that Besson Decided to get all you know interventiony at 4.7 and then you know and then kept doubling down day after day to like talk even tougher like Because at first it was like hey, we'll go from whatever two to four the market was like liked it for a day and the next day unwound it and he's like, oh, well, we can do more than four and the market was like, yeah, whatever. And then someone

from the Treasury even said, like, oh, we'll just throw the TGA at it if we have to, which is like, no kidding. Just QB at the end of the day. They kind of backed off of all of that. And then today, whenever you're hitting nearly five, now all of a sudden, you know, after the drug op-ed and all the criticism he's taken, he's done the opposite. He's gone from caring too much at four, seven.

Like now it might actually be a problem up near five and he's like, ah, whatever. It's fine. No big deal like nothing to see here I feel like he's gotten it backwards like there was no problem worth mentioning and he freaked out and now that it's like maybe you should start to panic and do something about it He's like everything's good. So To your point like like don't get me wrong. I don't think equities care as much about yields as a lot of other macro people do and I'm that's because I'll learn that the hard way But the rate of the change matters and ripping above 5% on the 10 year like, yeah, like that matters. The cost of capital does matter. And if you think about what's driving the economy and what's driving a lot of returns, obviously it's the AI build out. It's all the catbacks. And those guys care about the cost of capital because all of a sudden they have to borrow shocking amounts of capital.

One of the problems we have is they're competing with the treasury to raise capital. They both need more than really markets have to give at rates that aren't really high. So, um, to me, you get much above five and you're at a problem to where you do, you have to go back to like the best cent, like, Oh, we'll just throw the TGA at it, which is just monetary policy from the treasury or to your point. Yeah. Have the Fed, you know, do something, whether that's just the Fed goes and smokes a hundred billion. out of nowhere without talking about it and then says like, oh, by the way, we did that. So, you know, just to keep things orderly or, you know, whatever it is, like a quick one-off QE or something. But obviously what you have to worry about is the market response on the back end of that, because if the market takes that as throwing some inflationary gas on the fire instead of helping, you know, you may, you may not get what you want out of that. And if you, if you spook some foreigners into selling more treasuries or whatever, like you may not get what you want out of that. So.

It comes with a lot of risk that they really need to respect and I think if you go back a couple weeks that was Both both best and worse didn't respect that worse, you know, whatever a meeting ago said Oh, don't worry about we don't have to raise rates because the market's doing it for us and He deputized the bond vigilantes to fight inflation, which was a super dumb idea because this is what you get If you want to tell the bond market to fight inflation, it'll do it by you know rampaging to 5% on you And then Besson tried to do the opposite by fighting back against the vigilantes that just got deputized by the Fed chair. So those two need to figure out what they're going to do, come up with a real plan and execute it. But yeah, you can't just hang out at 6% on the tenure and not have consequences. So they got to start soon. Absolutely. You know, and the interest part, one of my favorite sayings from Jim Bianco is basically saying that the the market can stop worrying when the fed starts panicking. And we're seeing the opposite where the fed saying we're not worried. So the market is panicking. And it's only when we hit that transition moment that the market will will calm down when they feel like that the central banks are doing something about. So two things I want to specifically touch on. First of all, is the fact that this is not like we make this sound like a very US problem, but this is actually in the global developed world Something that's happening broadly. So this is the European 30 year yield which has just been on a tear about 50 basis points in two months on the upside ripping to fresh new highs the United Kingdom 30 year bond ripping to 590 basis points again fresh new highs on this, the 30-year Japanese yield, not really blasting new highs, but still near its highs. The thing is that while we try to make this irresponsible US government or spending or whatever kind of argument, the reality is that the oil transmission has actually made inflation, a problem everywhere. And this is a bond problem globally. What do you want to add to something on that? Yeah, I would say it's a problem everywhere except except China. Like, we keep talking about how you know, our bond markets are performing everyone else's but in reality, not at all compared to China. But that's because they don't have any inflation there, which is not all good for them. You're absolutely right. At the end of the day, all global bond markets have problems because you know, energy and food prices is problematic. Same with like, you know, like I said, like memory costs going higher, making technology expensive. That's also not just an American problem. So it's absolutely spot on. But I will say like the US has the biggest primary

deficit of, you know, of all of these countries with only France even being close. So I think it can get worse here than these other places, especially since, you know, our, our treasuries are overowned by everybody for obvious, you know, reserve reasons.

that can get shook. Whereas most of these countries, you know, they own more of their own and stuff where like the acute risks going forward, I think we hold more of those than the rest. Unless Japan were to like dump all of their Aussie or French bonds and hold on to all their American ones or something as they repatriate. But I don't really see it going down that way. But the point absolutely stands in your right. A lot of people make this as just one big US problem as if, you know, Yields in Germany or flat on the year or something and that's that's obviously not the case right so so now the second thing that I wanted to therefore touch on is is basically talking about the fact that There's a competing credit in that many of these hyperscalers are also in there like like sucking up all available credit out there And so there it's not this just that the US government is trying to issue so much and the cost of that credits going up But but now this huge data center build out and all of this capital expenditure that's coming into this AI build out is like I think that the tune for the year was am I correct saying it was like a trillion dollars that they're that they're Try have issued In that, I'm I apologize for got the wrong number wrong. It's insane. Yeah. It's like two trillion that they've taken on now. Yeah. And, um, and so, you know, we have this issue. And so now I'm putting here junk bonds. These hyperscalers are not junk. But what we see here is that JNK has distinctly broken down in the last two weeks. Like what we're seeing is that this is no longer just a treasury problem.

But it's starting to actually now trickle in across corporate bonds. And so this is where I think things can get messy. Now we haven't seen the credit spreads blow out. So this isn't an issue where the quality of the subprime or lower grade debt is somehow now has to command an extra premium. On yield because of default rates or something but generally we are seeing that this is now trickling in right across the board in the credit markets and And so like this is this is not just a US government bond issue now This is now do you know that 6040 portfolio your 40% in bonds is dog shit I mean TLT 50% drawdown now like this is brutal Absolutely. Something super

important that I'll add to this, and I wrote a long piece about it like two, three years ago that no one cared about. And frankly, it is boring, but it's really important. And that is, and I don't think a lot of people have recognized this yet. If you go back, you remember all of the global savings talk to whatever 15 years ago, and it was just true, like there was just an insane amount of global savings, mostly from Asia.

And that made the cost of capital just really low. Obviously throwing all these big trends like demographics and stuff and it all just compounded on it. But all that's changed and very, very importantly, like I see people understand the secular changes that have happened that make, you know, the whole bond market has turned back up and now like policy rates keeps putting in like higher highs and higher lows, like the opposite of the last 40 years. What I don't think people realize is that global savings itself peaked and is coming down. And that, like that is half of the equation of supply and demand, right? So that is a really, really big deal. And as, as the world changes, as we get more multipolar and, you know, like the US is telling Europe to defend themselves, telling you guys in Canada the way worse, like all these countries are going to want their, some of their own capital back, their own savings back.

Because if you tell like Europe, hey, go defend yourself like cool, then give me my treasury so that I can go buy build my own tanks and fighter jets. And that goes for place, you know, countries all over the world. You're basically telling Korea, you can't protect them from missiles or the Philippines or whatever. Well, if they want to build their own defense, they have to probably cash in some of their some of their investments they have, you know, in America. So like point being, global savings is less than it than it has. We've been accustomed to. That means the cost of capital is higher. And then the demand for other countries to deploy their own savings domestically instead of just parking all in the U.S. to get some extra return, like that demands growing for them. So to talk about 64, it's a big topic.

fixed income. But it's hard. It's hard to build a trade around that. That's just such a huge macro topic that that it's, it's a bigger, like, it's a drift. Don't have 40 and or even 10 and fixed income. To me, fixed income is now a tactical trading sardine, not an asset class. Tell it to some pension funds. So

the, they'll have a meeting about it in three years to discuss it. Yeah. So let's, let's chat about risk assets and the impact that this has been having on risk assets. And now looking purely at charts like a technician, the S&P 500 looks like nothing wrong with it. I mean, it made higher highs, what were its previous highs, acting as support, holding its 50-day moving average, holding above its Fibonacci zones.

If this bullishly breaks out of the flag, it could be a continuation pattern, like you can just on the surface, it's very hard for anyone to identify that they should be worried about something on the S&P. But the one thing that I've been actively talking about with my members is the fact that we literally have seen a collapse in market breadth. Now I'm measuring this here by the number of stocks trading above their 50-day moving averages. And we were a month ago, we had 70% of the stocks in the S&P 500 in bull trend above their 50-day moving averages. And that got halved. Like literally half of those 70% of the stocks broke trend. We're seeing a substantial deterioration when of course we can we can discuss where it is, but like yeah industrials broke down Defense contractors broke down All the bond proxy hide high different interest rates sensitive names broke down like you're basically seeing like if you literally were not in the mag sevens and energy stocks and maybe some minors You know like if you're not in that basket maybe some bio text or some of the other names that may have been holding up but we're seeing a substantial deterioration under the hood. And and this ask the question like if the s&p was in fact going to be bullish and capable of going.

printing 8,000 on the upside, you have to sort of see where the leadership is going to come from, like where what is going to be the general, the leader that's going to put everyone else on its back and grind higher in this environment. And initially, it's very hard to build a thesis when you're looking under the hood where that's going to come. And I want to look a little deeper into that, but what's your first comment on I just want is your first impression on this part Yeah, I mean it's this is really tough because you got earnings you're only like 30% Which makes you feel like you should be in the moon on the moon, but then you have yeah, like rates ripping energy ripping inflation ripping those are headwinds But to your point like I think you got to the point where you're a mag seven or bust

whenever you whenever you lose that kind of of breadth Mag7 has to do the job. When you look at today, you're bouncing off the 50 day and that prior, you know, old resistance is becoming support just because Mag7 is doing it for you. So here's your Mag7 chart. So you can, we can see here that we're about to break 52 equies on the Mag7 basket, right? Like, and so the Mag7s are doing their job. And, and they're, they're the ones that are holding this together, like literally the the seven stocks make up 30 or the one third of the entire capitalization of the basket. And, and they're that important. And so the question I have for you, do you think that the mag sevens have got enough gas in the tank? You think that this kind of hyperscalers thing is done or like, how do you size up the equity markets here? What who's going to win this tug of war, this really high earnings, solid momentum and versus that of higher rates?

and a consumer that is basically getting pinched by higher prices on everything, their spending patterns are changing, changes the landscape. So how does this play out in your mind? I think I hate to be overly simplistic, but it really just comes down to the war. If something good can happen out of there, then they'll be fine. But if not, I think the cost of capital is going to start stinging them too. You're going to start seeing those interest expenses. hit the line item where it's just like, wait, what? They're paying how much for interest? I think we take for granted that they used to be a net interest, like massive beneficiaries. You used to go look at how much Google made on interest here, and it's like, wow. Well, that's flipping. Like they're gonna be paying a bunch of interest. And I think that's, it's more of a headwind than the market has picked up on yet. So yeah, if energy keeps moving higher and keeps bringing rates higher, and they keep spending trillions of dollars on.

on building the digital sky daddy force all then. I think I think max seven could be a drag doesn't now I'm not saying it's going to be down a bunch. If it does concern going down a bunch you hope you know some of those other sectors can can pick back up a little bit but I don't think max seven is going to save us as long as the war is going on. I think the cost of capital is now you know a thing for them now they can pay it like they got some runway while they can still pay it. But it's going to start impacting earnings. And I think they're obviously getting so much love from earnings because

people, you know, you book the gains without booking all the capex because that's spread out over time. So it's, it's flattering earnings way more than, than it probably should. And it is still notable that you haven't taken out may highs, you know, on, on max seven here in September, like that that's not nothing either. Though we are so listen.

You know, you've mentioned it now clearly more than once that you think that the war is a pivot. So let me corner you on getting a more kind of explicit number out of you. What's your over-under level that the war does have a surprise ending this year? Oh man, that's good stuff. If you give me the rest of the calendar year, do I think we... basic, more or less do something to normalize straight flows. I would say I would put the odds that that does happen at 65%. So you think that this is a possibility, like a legit pass? Yeah. I think it's just untenable to keep, keep going. And I, I don't know what the magic number is. If it's 8, you know, diesel or something where it's just like, they finally just throw up their hands and give up. Um, but, but I, there has to be a magic number out there for.

For some for some price. Maybe this is the 10 really a question is is like can they get I ran to The nuclear eyes because I think that in the eyes of Trump They justified that they had to do this because otherwise Iran we have nuclear arms if they a kind of if he folded in the middle of his presidency on this and Iran moved toward nuclearization, I think that would be a disastrous blow to having justified why they did it in the first place. And that's going to be the really tricky part. How long can Iran remain stubborn? Do they want it to end? The question is, if Iran saw that this was working, What if this was their way of dealing a very bad blow to the Western world for allowing this to happen? Do they want to deal as much as the US does? There's a lot of big questions that I don't have answers to. I'm just kind of putting my thoughts out there, right? Yeah, so I've thought about this way more than I should have in the last six months.

Think at the end of the day like if you go back to before the war Iran was clearly willing to give major concessions on nuclear and if you go back to the the memorandum of Memorandum of understanding it was pretty clear they were willing to give on nuclear so But they weren't obviously not willing to give on the straightaway moves. They want genuine control there

So I think if we were willing to give them that control give them the sanctions relief give them the bag of money that we apparently agreed to I think they would I think they would be happy to give on nuclear. Now, do I think they want to keep developing that program in a way that's not weaponization but could turn into it quickly if they needed it to? Yes, sure. But that's pretty common around the world. So I think they can get there. I think now, whatever deal we walk away from is not going to be easy to sell. It's going to basically be impossible to sell. But you're going to take an L here. It's just what color do you want it to be and how big do you want it to be?

and at some price on energy, on some price on bonds, et cetera, you just wanna take whatever L you can get and move on. So that's been my framework since the war started that we're gonna take an L, it's gonna be a W. I thought the MOU was gonna hold at first, I thought we're just, because that was a big L, but it's like, oh, this is smart, this is the thing, the only way to do this is just to get out of there and take the L. But to flip it though, Iran's economy is horrible right now. They have a bunch of inflation like they need to get out of this too. This isn't good for them to just keep pressing this forever. I think they need that sanctions relief. They need the money. They need the oil exports. So I think they, you know, as long as they get, they get their big things like control the straight, they'll, they'll take a deal. So let's, let's kind of put it all together. A two third odds that that they take an L, inflation expectations drop. The Fed can take the foot off the pedal and that's gonna fuel the stock market for another leg higher if this scenario plays out. That's, am I putting it generally right? Yeah, I think that's all fair. I think that's why I kind of like the two here. That's why I've been trimming. I was absurdly long oil. I've trimmed that up heavily.

because once it starts to really hurt like that's when the odds of it going away pick up like you say like when policymakers panic that's when you should not panic um and just looking at my screens I figure they're getting closer and closer to panicking so trimming what's been working and yeah get get ready for some of the stuff that that could work on in that world So listen, I want to make sure we go through all the a bunch of commodities because me and you both love to talk commodities. But before I do, I want to get just you can do some quick short comments. Obviously, we had a

semiconductor bull rip in the second quarter that was pretty historic. And so pretty much you can almost label it a bubble outright kind of a move on the upside.

Clearly, that was led by the KOSPI, the South Korean index, you know, did a three-bagger move in a couple of years on the upside, just an extraordinary rip. Both of them have had a substantial correction, KOSPI more so than the thing, a 40-plus percent drop and nothing short of a pretty pathetic bounce so far. And the semiconductors you know, from from peak to trough as an index, you know, did a 25% drop. And I've been struggling along a flat 50 day moving average as well. mag sevens could rip markets good thing. But like, where are we in this story? Like, is there is this still just, you know, mid game for a one more rip? Or is or are some sort of meaningful highs been put in here?

Yeah, I'm very open to both For sure like at the end of the day this just turned into a both SMA agent DRAM You know it just became wildly overlevered players where we have enough people in three X ETFs, you know Even if you just wanted to take a breather you're gonna take a 40% haircut and I think that's what happened You know like earnings for all these companies are still great. Their outlooks are still great if you look at devaluations on some of it. It doesn't seem that bad. The problem, of course, I'm very open to tactical longs on AI trades here. The problem, of course, becomes like, at some point we will realize like, we built more than we needed. Whoops. And that's going to be a nasty moment for all this stuff. The way these kinds of things work when you have technological revolutions is every time I need my history, we build too much of it. And there's no moment where we're like, Guys, I think we've built too much. We should slow down. That's not the way humans operate. We take it all the way until it blasts into a wall. And then we look up and go, oh, whoops, we built too much. That will happen with this. I don't know when. It might be next month. It might be in five years. I have no idea. Literally none. So that part scares me like on that downside, but, you know, that's kind of beauty options where you can cap downside. I think causing some of this stuff can make sense. Or, you know, outright longs where you have a pretty tight stop.

Because yeah, if the war ends and raids pull back and everyone's probably going to stop, look over at this and want some of it. So I'm very open to both sides here. I like this stuff until that wall appears. But because that wall will be a really nasty event, the risk management there is important. That's where folks should listen to you on some call structures and stuff so that they can define their risk. Well, I think at this stage, and what's interesting actually about the semiconductor space is that obviously we saw absolutely ridiculous, we saw absolutely ridiculous moves and where volatility on semiconductors when exploding to the upside to the, you know, some of them were 100 plus percent implied, but we literally have seen volatility collapse.

In the semiconductor space, I thought I had the semiconductor but we literally have seen really having in and and in many cases the implied volatilities on on things like Nvidia are Essentially at one year lows in other words the optionality of the semiconductors here is once again more attractive than it was in terms of using them as a vehicle for expressing tactical upside without having to overpay. And so it makes them a very interesting tool in this kind of window that if you do see the possibility that semiconductors have another leg higher, then right now using them is an interesting strategy for sure. So I remember I remember DRAM moving 10% like a day in each direction like the volgot the volgot pretty nutty there for a while But now you can see on the chart like SMH is basically falling asleep at its 50 day Yeah, yeah, that's what it's exactly it like it literally there there's no flows that are driving and it's interesting though because Nvidia is the largest holding in the semis and a semiconductor ETF but I'm really in video trades more like the hyper scalars and mag seven.

and far less like its counterparts. So like when all the others were going through their monster rip, NVIDIA was barely participating. And you know, when it's going up, when the other ones are going down, like it really just is marching to the beat of its own drum. It really doesn't seem like the correlation exists there. But you can see like NVIDIA double top retest. And I don't want to call it a double top because it could still break out to new highs and keep going. uh, but we retested its previous highs and we're going to, and we'll get a big tell as to whether this part of the mag seven basket is going to be the leader, uh, uh, going into the end of the year.

Right? This is, this is, uh, where the semiconductor story really gets interesting. Yeah. And if you don't like the AI story by Apple, because Apple does the opposite of whatever AI has done for the last few months. Yeah.

on like, look at this rip on Apple here, like this broken again to a little bit of a higher high, not yet at 52 week highs, but close the gap. And, and, but more importantly, it's being accumulated. It's it's there's flows going into Apple. This is evident. And, and you know, when you need some leadership somewhere, Apple is clearly providing it. And And so that's certainly one of the ones to watch. And of course, what's interesting is the dog one for a while has been Google. It'd be really interesting to see whether Google can wake up and and start to potentially participate again, because it's really been dragging its heels in the last little bit. Yeah, I guess the market doesn't like it when you sell 80 billion worth of stuff. Rumor has it that's weird. You would think.

Hey, but let's let's talk commodities and let's start off with gold. Okay, so Big picture Let me just put on a weekly chart. We had a solid two-year bull market 2024 through 2026 an extraordinary bull run and now a 25% correction that was about a six-month correction on the downside Is that enough of a correction is this is this uh recent strength uh enough to have ended this bear market mean reverting correction and it has the bull market resumed uh what's uh what's your positioning here on the precious metals yep we'll uh we'll get again go back to the middle east for our north star because if the war rages on for another few months you could actually put in a new low um the reason we ripped if you remember was actually the When the treasury secretary started threatening to kind of monetize some stuff, gold just took off like a scaldy cat. It's come down since because Besson has kind of put the toothpaste back in the tube on that. So with the war ends, we rip big time. And then if we start putting some medicine on the symptoms of the war by throwing the TGA at the yield curve, we're doing a little QE here, whatever. If we don't like the way this feels and we start taking medicine so we don't have to feel it, start any sort of gimmick to get yields down artificially, then it's going to just absolutely rip again. So I'm a big fan of being involved. I love it, you know, medium and long term.

But yeah, if the war raises on I wouldn't be shocked if you if you did go You're talking about whether or not the short term and and you know what there's a long rich histories of gold Doing prolonged consolidations and so a ping-pong match between 4,800 4,200 for the rest of the year before a bull breakout next year is not it's something that gold has demonstrated being capable of doing things like this. And so it could be just a quiet start. But to me, overall, it exhibited a clear breakout. And usually when you get these kind of 50% retracement, testing key 50 day moving averages, it becomes an interesting inflection point that is the big tell on the short term whether or not, uh, there is a bull trend because if it gets bought on dip here technically at these levels, um, that's them demonstrating that general accumulation and, uh, and that could spur a move to 5,000 here. And, uh, and we're going to get the tell right here in my opinion, that's, I don't think it's going to take much more than a week or two to know whether that, uh, is going to play out. Exactly. And it's a fun chart because you had a really nice consolidation of breakout.

So like perfect structure there. And then now you have like this ugly head and shouldery looking structure. It's like a, it's kind of like a choose your own adventure on the chart. Yeah. Yeah. Uh, you know what? Actually I'm going to circle back briefly to, to crude because what I wanted to, to kind of point out, which was, I thought was super interesting. We were using the commitment of trader reports on, uh, on caught signal.com here. I wanted to highlight that we've been now two months ripping. on the upside of crude oil. And what I found fascinating was how the story played out. So this is the net positioning of gross lungs and gross shorts on large speculators. And what was fascinating was that obviously in that June washout on the downside, there was a huge build of short sellers that basically built a short position that was at a a five year extreme. And at the same time, they washed out a chunk of the long oil bowls and and cleaned them out there. But what I'm finding fascinating is up until and we'll see on tomorrow or today's caught report hasn't we haven't it hasn't been out released yet to see for this week's results. But when are these shorts going to get squeezed out because they're that we're still uh at uh on large speculators isn't commercial hedgers this is large specs that are holding a couple hundred thousand contracts short on wti and uh and they haven't been shaken out with almost a 50 rise of oil off of their lows like this is fuel and um and if if there isn't

the deal um then at what point Does this offside positioning get forced to actually reposition? I thought it was super interesting. And that's definitely one of the things to watch. Do you have a comment on that? Yeah. So I mean, I think we had about an 8% week on oil, something like that. So I would be surprised if you don't see that clean out some more.

But the week before like I thought I thought you you would have lost a lot more shorts gained a lot more alongs than we did I was kind of surprised by last week's report So you never know I guess but you know if you're a bull Wait, that's what you want You want to see price go up 8% and then the commitment of traders barely budge like that's just perfect and to your point Yeah, like if any any CTAs left there they're probably got out this week you have some some some other institutional money like jane streets made the news for their position and stuff that maybe speak stubborn for other reasons i don't know. Well it's certainly interesting to see how that plays out now let's talk about copper here because on a positioning basis copper has been.

crowded, decisively bullish, shorts have been squeezed out, longs have built substantially, and rightfully so because the fundamentals were actually favorable to copper, there were Titan markets in the scenario. And so, rightfully so, there was a reason to be bullish in everyone position that way. And, you know, even if there is a crowded cop report, like in terms of positioning, so long that they're being rewarded with higher highs, then, then there is no problem. But we got a pretty good reversal yesterday. based on at least my interpretation, you can correct me if I'm wrong, but it was all about the tariff thing in terms of delays on some of the potential tariff stuff on copper. And that created a reversal. And, you know, one day doesn't make a new trend. But you know, this is a trade where everyone is quite the consensus is outright bullish, like they they're there, it's very hard to find anyone that is leaning bearishly on on copper. And so the question becomes, you know, is this one where some volatility may, you know, come in largely just because it's such a lopsided positioning. How do you size up the copper markets? Yeah, it's pretty easy to especially on the chart to see some potential downside is I mean, you just surfed that that trend line and the 50 day. So if it breaks down, it's such an obvious spot for people to get out.

that I would not be surprised if people did get out. And I also hate the tariff speculation part, like it's just nothing I want in my trade, because I don't know what to do with it. I like Copper, but one thing I've learned with Copper is there's a lot of assets that can just keep trending even when everyone loves them. Like obviously, Mag7's done it for years, things like that. In my experience, if everyone loves Copper, it's about to have a bad time. And to your point, everyone loves Copper, so it definitely deserves a lot of a lot of caution here for people that are alone. Yeah. So like it's now at the 90 second percentile in terms of crowding, but you can observe like we pretty much are sitting right up along the highs of a five year look back in terms of net positioning. And so, you know, we're in a situation where there is lots of room.

For and notice by the way that the short sellers have been more or less flat the gross shorts it really has been a building of gross lawns speculators are the ones piling on the upside which basically is your cta's and your and obviously other trend following traders that are playing a great fundamental story and the question is is that is the tree about to be get shaken out. And that's it's going to be one of the more interesting puzzles to solve here as we go. All right. Let's let's talk NAC gas briefly. Or unless you want to talk about extensively, but I'm just going to start with the UNL because it's a strip really just reflecting, you know, the fact that the entire term structure has the water level has has dropped and the tide is receded and everything is down.

Clearly, there's ample supply in North America. And it's been a very, very ugly period in here. Let's start off just at the high level. Is this overdone? Or is there genuine reason that this is going to stay here or go lower? How do you size up the NAC gas markets? Yeah, so I put on some puts for December 26 early this year and I still have them because I think I think we still have downside. At the end of the day, this was a combo of weather, which I think is going to keep a long, mild, you know, shoulder season, which is gonna be problematic. But more to the point for me, it was the associated production. I thought because of the war, associated production would rip. I thought it would come with higher oil production than we've got, which we haven't got, but we have still got the associated gas production just ripping higher. So yeah, to your point, we have too much

gas in North America. And you can't really get rid of it. So if we do have a long, warm shoulder season where like you get into October and November, and you're just not getting any really any meaningful cold shots, then I think that December contract, which I started, I started my puts when we were at four.

For 3 is where I was trying to get to I think I have the January one up here. It's very similar to where Yeah, you see how long ways to go down in my opinion. I think you can go to three bucks Really, but you know, you know, I'll bet they're off but and often major positioning in caught reports are Fundamentally driven. So, you know, what usually you know coppers bullish because the fundamentals are genuinely bullish in the same way, natural gas, everyone is net short, but also the fundamentals are dog shit, right? Like this is, it's a bad market. But what is interesting about net gas, we're at the zero percentile of positioning, but we have now reached over 500,000 contracts net short, which is actually very close to a five year low. So the thing is, is that There is, this again has become a consensus trade. And like we said earlier, when it's consensus, so long as the price keeps rewarding them, that doesn't mean it's imminently going to turn, you can't just be a contrarian on first impulse. But there is fuel here. In terms of the fact that this is a pretty consensus.

That that this positioning is in there, right? And and I'm curious like what could blindside this market that can force many of these speculators to have to reevaluate because this is such a clean trend lower highs lower lows bleeding You know and it seems almost too easy and that's when the widow maker does its job, right? It's a How do you how do you size up my comments? Yeah I think at the end of the day, it's pretty easy to paint that picture. If you get a big cold shot east of the Rockies in November, then this thing will be at five bucks. That's simple, but that's where the trade lies, is whether or not you can get that. Obviously, December, you're probably gonna get some, but if you get a really warm, mild November, this is just gonna keep going lower. Now, if it does get down to three, it will be wildly consensus and you better take off.

the short by then. But as it always does in the winter with Nat gas, it'll come down to the weather. Yeah, that's it's it's certainly interesting how it's

playing out. All right, listen, let's go to the one that I wanted to pick your brain on because you it's something that you is near and dear to your heart. But let's talk the grains. And what's interesting is I naturally Always go to wheat. I don't know why in my brain wheat is my like the one I go to but really the action Has been more so in corn than wheat even though both of them have been very clearly ripping to the upside but like there's been an extraordinary move in the corn markets on here and clearly you know, the catch things that everyone says is El Nino, you know, fertilizer issues with through the straight or her moves, planting seasons and all this different things that was happening that the yields are not looking anywhere near the acreage isn't looking as robust and all of these different things. But the question I have for you is that, is this still The opening innings is this the mid game or has now this been priced in like where are we? Because clearly things are super bullish and everyone's positioned that way But but where are we in the game? Yeah, I think I think middle and And I but I'm a pretty big proponent for the fact that whether it's whether it's like legit game changer here I Now can you can you kind of pull back retest some of these?

some of these moves, some of the breakouts and stuff, sure. But at the end of the day, you know, the weather really is that impactful. You have the quality of these crops impacted globally. Now, while the grains have looked good enough kind of range traded these like to me, some of the best ones is like rice and sugar, because those are being the funny thing about like wheat and corn is grown like almost everywhere. So it's a little easier to make up for problems whereas you look at things like sugar, cocoa, rice, like they're not really growing everywhere. So I flip first of all to weekly charts because what's very important to highlight on all the charts you're referencing is that there's been a vicious bear market for three years. Like it's these prices have just hit rock bottom on so in this. So this is the sugar weekly chart.

and we got down to that 13 handled down for a bit. We saw a halving in sugar. And while it's been certainly an extraordinary rip on the daily charts, when you put it in context of a three-year bear market, we have two months up and suddenly what is going to end? To me, you say mid-game, I'm actually curious whether this is still earlier earnings as opposed to mid-game. I just feel like a new hire for like, I don't think any highs out the question at all. Sugar's literally been my favorite trade of the year. Like I

still have calls I put on back when we were under 15. I'm not touching them. Like, uh, now, you know, trimmed up some of the Delta one stuff, but I think this can go to a new high, uh, right? Because the localized aspect of it, like the Indian crop is just as bad. So I can keep going.

So, so here's here's the chart of cocoa. You were just referencing again, like, you know over it was a bloodbath year in 2025 like it It just got murdered on the downside and that it's not even a having that's like 70 80% decline Yeah, like and and and so it certainly had a already a very strong start. It's been a solid year. But, you know, it's been higher before. Like, so are you are you still buying dips here on cocoa? Is this still, is this still the trade? Like cocoa, the weather, I mean, and this is like, mostly concentrated to one part of Africa, like this is not a global crop. There's, yes, they do grow a little bit and then like LADAM and stuff, but like, This is mostly just a West Africa crop. And when you combine the fertilizer issue, the weather, what you end up getting is crazy moonshots like you had in 24 there. Now I'm not saying we're going to go all the way back to those highs. Those are pretty intense. But I think you can go a lot higher than 6,000 though. If you start seeing a bunch of disease in the trees because of the weather, all bets are off again. So now let's circle back to corn and wheat.

I'm going to go here on a weekly chart on these and generally, obviously this is more international crops and things like this, crane, all sorts of other elements come in here. But obviously the view here is that eggs, that this is just the beginning of some sort of move, food inflations here, shortages. uh food shortages are gonna be a thing and uh and that these trends are going to stay in place for the next little while but is there one particular one of these kind of uh softs that you think are marching to the beat of a different drum or is or are you generally broadly across all of them in this view is there's some other story we want to talk about yeah i mean to me like a basket of them is going to be fine but i think the more tropical ones are the the best bet so And for that for me, it's the combo of rice, sugar, cocoa. To an extent coffee, all coffee's kind of been ugly lately. I think it can come back. Right. Right. So like, yeah, it's a little bit of a dip here in coffee, but it certainly feels like it's turned the corner back a few months ago and really going. Well, I want to leave it at this. Like when we look here, and again, the interesting part about the Commitment of Trader Reports is that

basically corn, soybean, sugar, wheat, bean oil, bean meal, all of these cotton have been like ripping at the 100th percentile of positioning. Like we basically, and more importantly, the interesting thing about corn on the caught reports was that just going back to June, They actually were near five year low extremes of short positioning. And a lot of this initial rocket ship hire was actually fueled by short covering because if you look here on the green line, the longs never really came in until August. The longs now have pushed to five year highs in terms of positioning, but they only joined the party recently.

Like this literally was at first a huge short squeeze that really materialized there. But now it's increasingly consensus that this is the trade. So this is not surprising anybody now, but it certainly has the fundamental backdrop to continue to be the story. Yeah, I think that I'll mention both the value and the peril of caught with exactly this story. So I think you see the value there where you just showed like the beauty of that was, that was mostly just shorts getting out of the way. It shows you like, hey, whenever you find something that has some good backdrop in your view and it has a bunch of shorts, like that might help you. But I'll say that the peril though, especially with eggs is whenever you get weather driven stuff, You can just throw the cot out the window and I speak from experience going back on Coco actually wrote up a very bullish piece at the at the very end of 2022 made some nice money 2023 and 2024 but didn't really stay with it and one of the reasons I didn't stay with it was like oh caught this is telling me Everybody agrees with me. I want to get out of this and that was like the trade was literally just getting started with caught and pretty maxed out so if you get a true weather event in an agricultural commodity, it doesn't matter. Like it just won't, it won't matter. Now it doesn't mean that we're getting that. Like maybe, you know, we, the worst fears of the way El Nino is going to unfold, they, maybe it's not as bad for some crops and, and, you know, they're able to come back down. So I just do urge that.

My my analogy that I give is like the caught report like using a nightclub analogy caught report is telling you when the nightclub just got hot in the shoulder to shoulder and everyone's having a great time. The thing is, is what you're fearful of is that well, if someone yells fire, you're going to get trampled. Out the door, but the thing is the party might go on and no one's

gonna yell fire and you're at the best freaking party That's an all night. You're partying and you like chose the right club and everything's great So if no one yells fire then then you know being concerned was unnecessary and so the energy not kinetic energy. It's a great way of thinking you know like it's and and so It's information. It's a positioning map but it can't drive alone your, um, your, uh, your bias. You have to, uh, you know, just because everyone's long, well, there's a fundamental reason they're long and you, you don't, you don't immediately fade that like a contrarian thinking that you're so smarting them. That's, that's, um, that's always the pitfall of.

of that approach. So listen, I have one quick thing for you. Is there a chart we forgot to talk about? Is there something that we should have mentioned here that you want to still look at before we wrap things up? The only one that will stay with this theme is KROP crop. It's an ag tech ETF and like nine people own it. As you can see on the chart, barely, you know, it's got some ugly candles because it's not that liquid. But it It is my favorite chart pattern in the world. This is what I call the bubble chart, the beat up big base alpha. Something that dies and then goes sideways for two years is my favorite thing on earth. So the fact that this one did that and has some kind of obvious, you know, tailwinds here. Um, 11% of it comes out of China. Uh, and China's doing some incredible ag tech innovation that is like really starting to flow. They just added it to their five year plan where like.

you know, throwing tons of resources at AgTech. Now, 11% of those aren't going to bring this whole index up, obviously, but I think, you know, the rest of them have big potential. Those investments start really going in and paying off whenever, obviously, things get expensive. Then all of a sudden things like precision and like start to really matter to squeeze out as much yield as you can whenever you have the weather headwind. So this is just one that I like because I can keep a tight stop because if because of this, you know, chart pattern. And I don't know, it might be able to go on a really nice run if the whole agriculture space is early or middating as we discussed. Awesome. Well, thank you. That's a great idea. I'll definitely be checking that out. So listen, before I let you go, for all of our listeners that may want to follow your stuff and learn more about you, where can they find you? Where should they follow you? Give people your deets.

Yep pinecomb macro comm is the easiest way and I'm at pinecomb macro for Twitter and then for the RIA I work at is board capital management comm so any of those work easy to find Awesome. Chase. Listen, uh, you every once in a while you come on here and pinch it for Kevin and, and do this. Uh, I absolutely love talking charts with you. I thank you so much again for joining and I look forward to, uh, uh, to having you back on the show in the future, but so thank you so much. Appreciate it. And, uh, and, uh, enjoy the rest of your weekend, bud. I do the same and I'm always ready on the bench over here anytime. All right.

Thanks a lot, bud. Alright, so thank you everyone for joining us for the Market Huddle. And there's no after show or anything. This one was just talking charts with Chase and we'll be back in a couple of weeks with some more content. Thanks everybody. Cheers.